

ENGLISH **LIVE**

16

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 16

15th February, 2017

Collect Tax But Don't Terrorise Taxpayers

The income-tax department has reportedly asked more than 18 lakh people to give information on the source of deposits, post demonetisation, of ₹500 and ₹1,000 notes. Posting polite letters of inquiry, based on information shared by banks, might seem innocuous—to a new arrival from Mars. To those used to the ways of the I-T department, it is an ominous missive, whose follow-through, if not necessarily its denouement, could prove harrowing.

Apparently, formal notices will follow for those who have no convincing explanations. Instead of scoring a large self-goal by way of needless unpopularity, the government could wait for people to disclose the source of their cash deposits when



they file their income-tax returns later this year. So, the tax return form should be redesigned to accommodate a special schedule for disclosures on cash deposits made between November 8 and December 30 last year. Preliminary government data shows an average deposit size of ₹5.03 lakh in 1.09 crore accounts. About five crore tax returns are filed, but less than 1% are taken up for scrutiny. Given that demonetisation was a one-off exercise, the tax department can always take up more cases for computer-assisted scrutiny this year.

Action must be taken to fight tax evasion, indisputably. But strong-arm measures will be counterproductive, and the need is for the department to minimise interface with the taxpayer. A modern tax administration calls for intelligent use of technology and use of big data to track evaders. Already, the annual information returns, filed by third parties that include banks, take the department half the way there. The department should walk the remaining distance, not force potential taxpayers to run scared.

THE ECONOMIC TIMES
 14th February 2017

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DISCUSSION ON
15th Feb (today)

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DISCUSSION ON
16th Feb (tomorrow)

Getting the Solar Power Goal on Track

One brief sentence in finance minister Arun Jaitley's Budget speech hints at a potentially transformative strategy to rev up solar energy pan-India. The proposal to feed about 7,000 railway stations with solar power could go a long way in meeting, if not exceeding, the national goal to have 100 GW of functional solar generation capacity by 2022. If the Railways can gainfully leverage land and building space for, say, 20 MW of solar capacity in each of the 7,000 stations, it would greatly increase green, renewable power nationally.

The Railways would be in a win-win situation in switching over to solar power. Given that the Railways pay for power at the highest, commercial rates, sourcing solar power on-site would save money and the environment.



There is widespread energy poverty and the lack of quality power in large parts of India, and concurrently our greenhouse gas emissions are large and rising fast. The way ahead is to speedily concretise forward-looking plans for solar power at rail stations, and focus on meeting lighting demand in adjoining areas too, so as to reap economies of scale. It would gel well with the ongoing plan to revamp and upgrade railway stations. And for the solar assets, there would be much potential for unlocking value and divestment, following listing on the stock market, and sooner rather than later.

The way forward for the Railways is to proactively access funds from the Clean Environment Cess corpus, seek accelerated depreciation, generation-based incentives, etc, and explore other innovative financing options to actualise its solar power targets in a time-bound fashion. The Railways have a path-breaking opportunity to adopt solar power for lighting purposes and, in the process, handsomely boost its market capitalisation. The track is clear; all the way home.

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Innocuous

*The two persons, who came to reside in our colony, look **innocuous**, but there are several criminal cases pending against them.*



Innocuous

Completely harmless / no harm

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Ominous

*Rajesh maintained
ominous silence, when I
asked about the health
condition of his uncle,
subsequent to the accident*



Ominous

Indication that something unpleasant is likely to happen

Missive

*Kerala Chief Minister sent a two page **missive** to the demonetization committee.*



Missive

An official / formal letter

Denouement

*As the parents did not agree, in the movie's **denouement**, the two lovers killed themselves.*



Denouement

Outcome of complex sequence of events / end result of a situation

Harrowing

*The police custody normally results in **harrowing** experience for the accused.*



Harrowing

Extremely upsetting, because it is connected with suffering

Apparently

*Apparently, it is
going to rain today*



Apparently

Something seems to happen, although it is not certain

Formal



Formal

Public / official



Informal

Any situation which is not public / official or you can say private life

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Instead of scoring a large *self-goal* by way of needless unpopularity, the government could wait for people to *disclose* the source of their cash deposits when they file their income-tax returns later this year.

Self-goal

*Donald Trump scored **self goal** with his flip-flop on One-China Policy.*



Donald Trump
President of the USA

Self-goal

Someone trying to get an advantage, but the situation turns worse

Disclosures

*Public **disclosure** of this information will have far reaching consequences on the future cash flows.*



Disclosures

An act of making something known or the fact that is made known

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Scrutiny

The statistics of the total value of currency notes printed and demonetized notes which were deposited in the banking system will come under close **scrutiny**.



Scrutiny

Careful and detailed examination of something in order to get information about it

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Given that demonetisation was a **one-off exercise**, the tax department can always take up more cases for computer-assisted scrutiny this year. Action must be taken to fight **tax evasion**, indisputably. But **strong-arm** measures will be counter **productive**, and the need is for the department to minimise **interface** with the taxpayer.

One-off- exercise

*Demonetization is a **one-off exercise***



One-off exercise

Something that happens or is made only once

TAX AVOIDANCE

- It is legal.
- It is minimizing tax liability by taking unfair advantages of the short comings in tax laws.
- It is unfair, unethical.
- Takes benefit of loopholes in law.
- No imprisonment.

TAX EVASION

- It is illegal, criminal.
- It is violating the tax laws.
- It is fraud.
- Deliberate concealment of material facts.
- Imprisonment / penalty.

Strong-arm

*Police resorted to **strong-arm** tactics to break the protests of the agitators.*



Strong-arm

A method or a type of behavior using force or making threats

Productive

The negotiations with teachers, who were on hunger-strike, turned out to be *productive*.



Productive

Achieving goods results



Counter

Opposing something / reaction to something

Interface



The way in which
information is made
available on computer
screen / mobile

Interface



सत्यमेव जयते

Point at which two
different systems have
an influence on each
other

Interface

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Scared

She is **scared** to tell about
what really happened.



Scared

Frightened / worried

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